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Akamai's Compute Business, a Major Growth Driver

Read Research Report: Akamai Technologies Equity Research



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Akamai's Compute Growth Outlook Tied to CIS Expansion

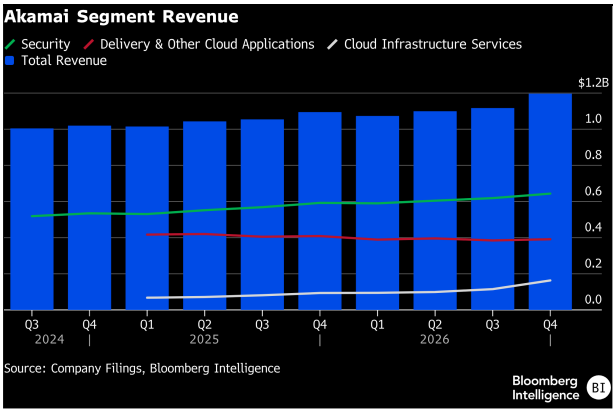
(Bloomberg Intelligence) -- Akamai's compute business has emerged as a long-term driver as it pivots to a more diverse model spanning edge compute and AI infrastructure from a prior reliance on Security sales for growth. The outlook in its Cloud Infrastructure Services segment has improved after several contract wins for AI infrastructure. Recent multibillion dollar deals from Anthropic have lifted CIS' growth outlook, though at the cost of heavy upfront capex. (10/06/26)

1. CIS Growth Outlook Blooms on Anthropic Deal

The outlook for Akamai's compute business has improved materially following a string of multiyear deals in its CIS unit, where it provides CPU and GPU infrastructure for AI training, inference and supporting workloads. Momentum recently accelerated on a new $11.6 billion, seven-year Anthropic CPU commitment that lifted signed CIS contract value to about $14.4 billion.

Anthropic is the largest customer, but the opportunity is broadening. Earlier wins include a roughly $200 million AI-inference contract with an unnamed technology company and a more than $600 million deal supporting robotics, along with other enterprise commitments. Akamai also says all three hyperscalers use its compute services for latency-sensitive applications, in a sign that CIS demand is extending beyond frontier-model developers. (10/06/26)

Akamai Segment Revenue ($ Billion)



2. CIS Emerges as Leading Growth Driver

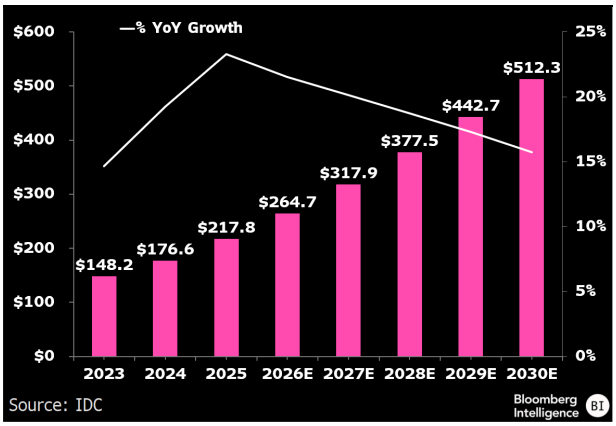
Akamai's 2022 Linode acquisition provided it with a developer-focused cloud platform spanning compute, storage and networking, laying the foundation for today's CIS segment. Akamai began reporting CIS separately in 1Q, citing it as a primary growth area. It has integrated Linode with its global content delivery network, which spans 4,400-plus edge points of presence in over 130 countries and more than 700 cities.

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CIS' 1H sales were $194 million, up about 40% from 1H25, reflecting the strength of this unit ahead of 2027's ramp-up in Anthropic revenue. This latest deal highlights CIS' upside potential, with Akamai expecting to post $150-$300 million of Anthropic revenue next year, rising to a $1.7 billion annual run rate by the end of 2028. The CPU-heavy deal also reflects a more profitable shift away from lower-margin GPU infrastructure. (10/06/26)

Public Cloud IaaS Market ($ Billion)

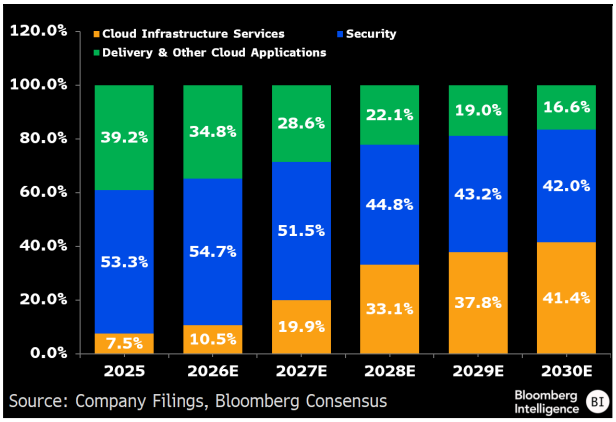


3. CIS to Drive Akamai Growth Inflection

CIS accounted for about 9% of Akamai's 2Q sales and its share will move higher as the contribution from Anthropic begins to get recognized. Consensus expects CIS revenue to expand to over 33% of sales -- roughly $2.2 billion -- by 2028, and then reach about 41% by 2030 as Akamai taps robust demand for AI infrastructure. The company is differentiating from the hyperscale cloud providers by offering lower data-egress fees, predictable costs and distributed infrastructure including edge computing.

The notable shift in CIS' outlook is the scale of newly signed deals. Akamai said that its $14.4 billion of CIS commitments could yield about $2.2 billion of annual recurring revenue once fully ramped up, making the timing of deployment a key swing factor, while suggesting further upside on the strength of Anthropic as a reference account. (10/06/26)

Akamai Segments Share of Revenue (%)



4. CIS' Sales Boom to Offset Delivery's Swoon

Akamai's 2Q revenue rose 5.4%, suggesting recent CIS momentum has yet to meaningfully offset a drag from declining sales in its Delivery and Other Cloud Applications segment. Consensus expects

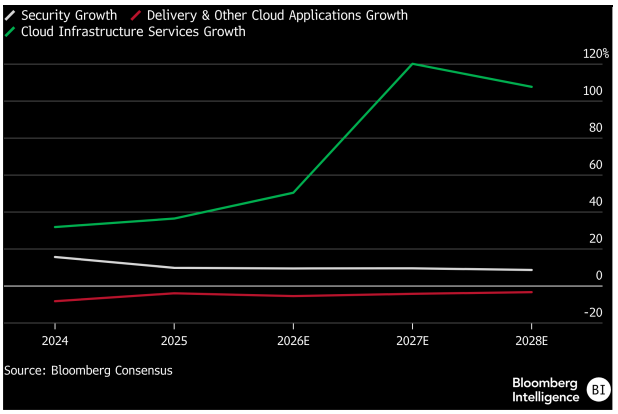
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sales growth to inflect higher in 4Q as CIS expands to over 74% from about 42% in 3Q, which will offer a larger offset to Delivery's decline. Akamai's 2027 revenue is projected to more than double to 16.4% as CIS expands by more than 120% to over $1 billion in sales.

This step up depends on Akamai building and deploying CPU capacity on time. Anthropic should contribute $150-$300 million in revenue in 2027 before turning sharply higher in 2028. The key execution question has shifted from whether Akamai can win AI infrastructure deals to whether it can it finance and deploy capacity on time and keep Security growing while Delivery remains pressured. (10/06/26)

Segment Revenue Growth (% Year Over Year)

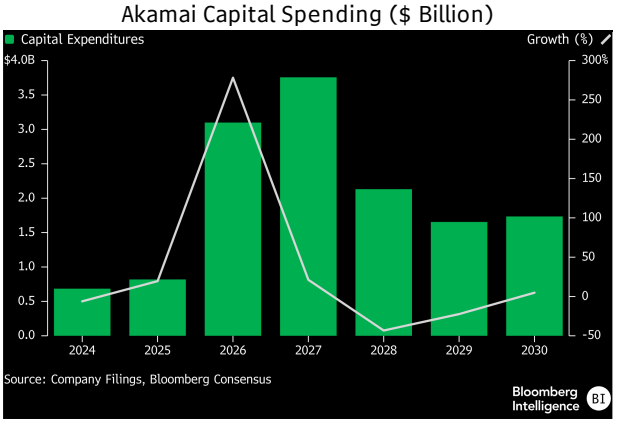


5. Expansion Comes at a Cost

Akamai's deeper push into AI infrastructure has sparked concern over the significant upfront capex required to construct the facilities needed to service the Anthropic contract and others. That deal alone calls for about $5.5 billion of added capex through 2028, including $1.7 billion in 4Q, $3.1 billion in 2027 and $700 million in 2028, well ahead of revenue from this deal. Returns should improve after capacity comes online and revenue begins to ramp up, with management saying large CIS contracts typically command cash gross margins of 65-75%, with operating margins in the low-to-mid 20% to low 30% range.

Take-or-pay terms also reduce risk because customers pay for contracted capacity once Akamai delivers it, even if their usage is less than expected. Still, the spending ramp-up will pressure near-term free cash flow. (10/06/26)

Akamai Capital Spending ($ Billion)



6. CIS' Margin, Cash-Flow Trade-Off

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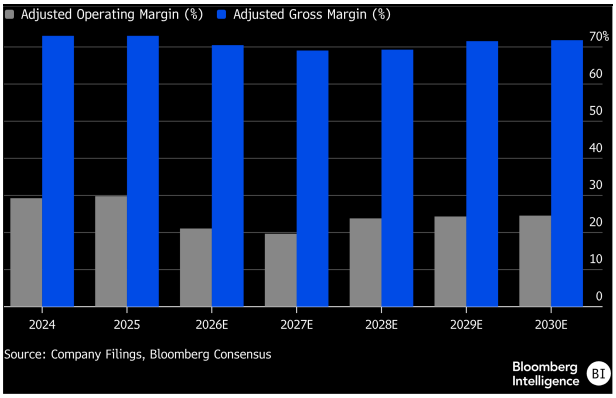
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Bloomberg Intelligence

Akamai is spending well ahead of the CIS revenue gain, shifting its compute story from modest expansion to a capital-intensive AI-infrastructure buildout. Its strategy to tap growth in AI compute will boost capex to about 40% of sales this year, from 19.5% in 2025, with 2Q spending reaching 32%. The forward spending required to support the Anthropic deal could push capital intensity to the 60%-range in 2026 and the mid-60s in 2027, according to consensus.

This advanced investment works if contracted revenue converts on schedule, with Anthropic contributions expected to begin in 2H27, reach a full run rate by year-end 2028, and remain steady from there. The debate is whether contracted revenue and margins justify the upfront capex, lower interest income and the dilution from warrants granted as part of the deal. (10/06/26)

Adjusted Gross Margin vs. Operating Margin (%)



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